RISK GOVERNANCE - AN ENTERPRISE VIEW

Learning Outcome

- define risk governance and describe elements of effective risk governance

Risk governance is the foundation for risk management. As defined earlier, it is the top-down process and guidance that directs risk management activities to align with and support the goals of the overall enterprise. It typically emanates from a board of directors with fiduciary obligations and risk oversight and who prescribe goals and authorities. Referring back to the definition of risk management, note that risk management is keenly focused on the risk and value of the overall enterprise.

An Enterprise View of Risk Governance

In addition to the responsibility for risk oversight, there are two other important areas in which the governing body drives the risk framework. First, it determines the organization's goals, direction, and priorities, which combined serve as a key foundation for enterprise risk management. Recall that enterprise risk management is an overarching governance approach applied across the organization that focuses risk activities on the objectives, health, and value of the whole organization. Second, it spells out the risk appetite or tolerance, meaning which risks are acceptable, which risks are to be mitigated and to what extent, and which risks are unacceptable. Risk governance should also provide a sense of the worst losses that could be tolerated in various scenarios, and management should manage risk accordingly. These considerations should flow naturally into decisions about risk budgeting to guide implementation of an optimal program that is consistent with that risk tolerance.

Risk governance is the impact of the governing body of an organization on the risk management framework. It provides context for and clarity on an organization's value drivers and risk appetite, specifies clear authority to management to execute risk management, and ensures risk oversight to continually determine whether risk management is functioning well and consistent with the organization's value maximization. It is the governing body's job to tie the organizational goals and risk framework together; thus, risk governance happens within an enterprise context. Risk governance and risk oversight also entail compliance with regulatory requirements. Risk governance is a difficult and demanding discipline, and if it is going to flourish in an organization, it needs visible commitment from the top.

Providing clear guidance with sufficient leeway to execute strategy is often a difficult balance. Even more challenging is providing for advance discussion and a clear decision and statement of organizational risk appetite. There is usually substantial discussion about this risk appetite *after* a crisis, but too often there is very little discussion during periods of normalcy, when it would be much more beneficial. Because risk is one of the main strategic tools that management can regulate, it is especially important for governing bodies to openly discuss risk, consider scenarios, understand the impact of negative outcomes on the organization, and make it clear where they are not willing to venture. Much like an automobile that comes with a red zone on some dials to establish boundaries for safe operation, risk governance bodies should likewise establish hypothetical red zones to ensure the safe operation of their enterprise.

Enterprise risk management (focusing risk activities on the objectives, health, and value of the *whole* organization) requires that the entire economic balance sheet of the business be considered, not just the assets or one part of the business in isolation. A narrower view of

Pension fund management provides a classic example of the importance of considering enterprise risk management: “Funds” are the assets and “pension” is the liability. But a true enterprise view requires an even broader outlook. A corporate pension fund’s manager might try to maximize only the fund’s assets, but this would generally do a disservice to the corporation. The assets and liabilities of a pension fund are both sensitive to market variables, so ignoring the liabilities would be ignoring half the risk. With liabilities that are quite bond-like, a pension fund manager using all equities for maximum growth would potentially make the overall fund insolvent in a market collapse with declining interest rates because, in such a situation, the liabilities would increase substantially in value while the assets fell. Risk tolerance for the assets in isolation would be far different from the risk tolerance of the entire enterprise. One should look beyond just the pension liabilities, which are likely to be a small part of the overall enterprise. Broader still, a true enterprise risk view in this case would *also* consider the parent corporation’s business risk profile and not just the pension assets and liabilities. In a market collapse, the overall business might be in a recessionary phase, rendering increasing contributions from the corporation to its pension fund quite painful. Factoring the corporate risk profile into the pension fund investment strategy may cause the risk tolerance to be lower in this case.

Risk governance that focuses on the entire enterprise will result in risk management that is much less likely to be at odds with the goals of the organization and more likely to enhance long-run value. Likewise, consideration of a full spectrum of risks, and not just the most obvious quantitative risks, will result in better risk governance.

The enterprise view of risk management is equally applicable and important to an individual, even if the term “enterprise” is not often used in an individual context.[7] The appropriate set of risks for an individual must be viewed not in isolation, but in consideration of the goals and characteristics of the individual in a holistic view. For example, an adviser may be designing an investment portfolio to maximize a client’s wealth and optimize the risk–return trade-off at some perceived comfortable level of risk.[8] But the client, whose wealth consists not only of financial assets but also of valuable **human capital**, might prefer that risk allocation decisions be made in view of both forms of capital, optimizing her total wealth. For example, a client with a career in real estate would most likely benefit if her financial portfolio is invested in a way that considers her earnings exposure to real estate related risks. Holdings of real estate securities above a certain level, even if optimal from an isolated portfolio perspective, might make this individual less than optimally diversified from a total wealth perspective. In another example, Investor X, who has substantial inflation-adjusted pension benefits, is different from Investor Y, who has a fixed pension benefit, and different still from Investor Z, who has no pension benefit and retires with solely his own investment portfolio. These three investors will require remarkably different investment solutions, not only to deal with inflation but also to deal with the uncertainty surrounding lifespans. Individuals with different goals and characteristics will need differing investment and risk solutions that are best suited to their individual situations. In fact, because of the extremely variable life cycle of an individual and the discrete nature of many individuals’ goals, the enterprise view is even more important to risk management for individuals than it is for institutions.

Risk governance extends into management to include ways to ensure that the risk framework of an organization stays consistent with top-level guidance. One useful approach is to provide a regular forum to discuss the risk framework and key risk issues at the management level. In other words, a risk management committee would be a key element of good risk governance. Its activities could parallel the governance body’s risk deliberations, but at an operational level as opposed to high-level oversight. In this forum, governance overlaps with many of the other aspects of the organization’s risk framework as discussed in Sections 2–3. In fact, if done well, it integrates all of them.

In the same vein, another element of good risk governance is the formal appointment of a responsible executive as chief risk officer (CRO). This officer should be responsible for building and implementing the risk framework for the enterprise and managing the many

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enterprise—this position is not solely a policing role. Although the chief executive is responsible for risk as well as all other aspects of an enterprise, it makes no more sense for the CEO to perform the role of the CRO than it would be for the CEO to perform the role of the CFO. Many financial firms now have a CRO in executive management,[9] which had become best practice even in the years prior to the 2008 crisis.

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